

Enforcing Ethical Compliance

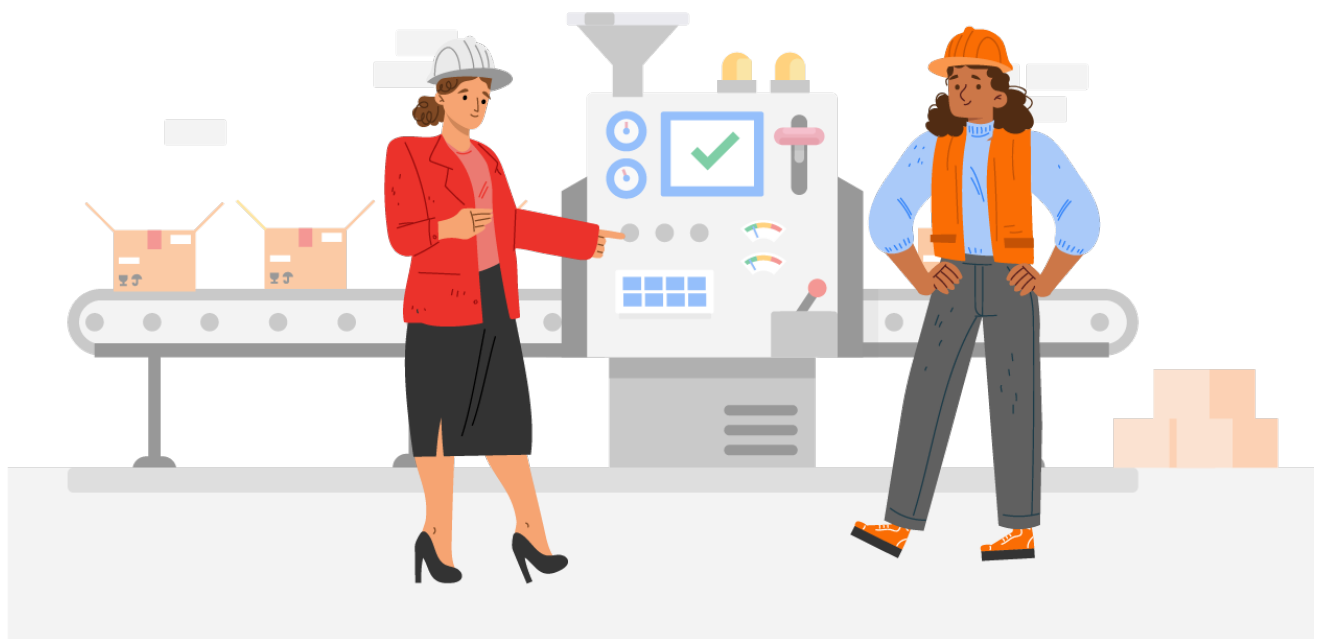
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WHAT'S COVERED

In this lesson, you will learn how to enforce legal and ethical compliance as a manager. Specifically, this lesson will cover:

1. Ethical Training



BEFORE YOU START

Recall that ethics begin with ethical leadership; and a comprehensive code of ethics that define a company's culture. However, ethics do not end there. Enforcing ethical compliance is also a necessity.

After all, if workers are not meeting an ethical minimum, the business cannot exceed it.

Broadly, we can consider lack of compliance to come in two forms. One is simple ignorance of the law or ethical standards; a second is awareness of these standards but indifference to them. Both of these can be considered training issues. In the first case, the person does not know the rules or the laws; in the second, they may not know the *consequences* of breaking the rule or the law. Thus, a good training program would not just teach the rules, but also the reasoning behind them.

➔ **EXAMPLE** A warehouse might have rules that workers accessing materials on high shelves using ladders always have a second person “spotting” them in case the ladder slips or the person falls. Since this would rarely happen, workers may soon start to disregard the rule. Moreover, once a few workers start to ignore the rule, an “everybody does it” culture settles in. Because workers can frequently scale the ladder without incident, the action is reinforced, and the rule is undermined. The company can impress the severity of an injury, however rare, so workers understand the reasoning for the rule and the consequences. The company may also impress the severity of any fines levied by OSHA if such violations are discovered.

As with any training, ethical training should follow a predictable process which is outlined in the employee manual.

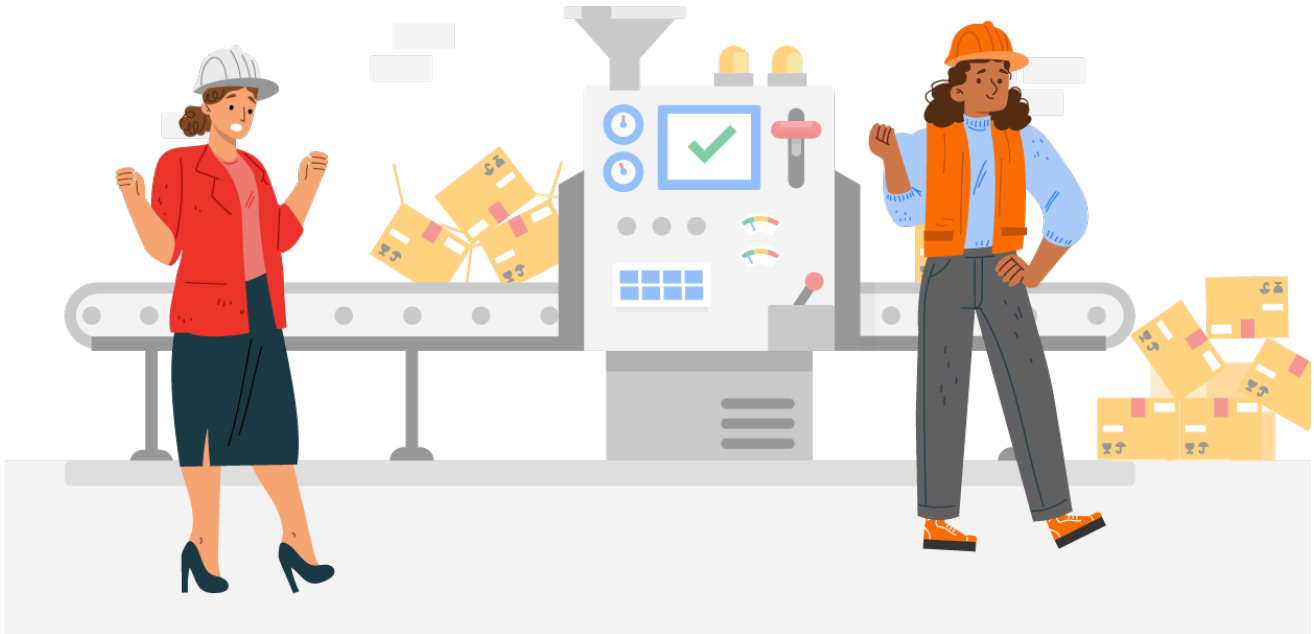
1. Establish clear expectations. In order to accurately evaluate performance, ethical expectations must be clearly established and understood. Given this, the code of ethics should be reviewed periodically to ensure requirements are current and include the desired/required performance.
2. Measure performance. Measuring performance not only establishes an objective point of reference, it creates an opportunity to discuss the instances of unsatisfactory performance, and identify and document any issues and associated training or other actions. Identification of training needs and an associated training plan should also be incorporated in periodic reviews. In terms of ethics, this should be consistently measured and not just in response to problems.
3. Solicit input on training needs. The individuals who are doing the work have a particularly relevant perspective on training needs and are perhaps the best source of information on short-term training needs. Surveying employees individually or conducting focus groups are a couple of ways of obtaining input. In order to get a complete picture, managers should also be asked for input on individual and team training requirements. Use of 360-degree reviews, where employees—including management—are reviewed by their staff, peers and their manager may also highlight training gaps, including legal and ethical compliance. Soliciting input also encourages conversations about and progress on training and development broadly—an expectation of both employers and employees.
4. Support career development. Ask employees to rate their satisfaction with training and development opportunities and how existing policies and programs might be improved. Provide resources and support to help employees create self-directed development plans, in addition to the plans incorporated in their reviews. A development plan might include areas of strength, weakness, and strategies, such as attending seminars or workshops to alleviate or minimize weaknesses. Career development plans also often identify career interests and goals as valuable input into the overall organizational development plan.
5. Conduct an organizational resource analysis. Conduct an overall analysis of the organization’s ethical compliance. It may also be useful to convene a roundtable group(s) to discuss the results of the organizational analysis, validate training needs, and identify any additional issues or opportunities.
6. Establish a coaching and mentoring program. Training is often initially done in the onboarding phase, perhaps by an arm of Human Resources dedicated to onboarding, or a series of web-based multimedia modules. But any job is ultimately learned by doing the job, from the people already doing it. Coaching and mentoring is an organizational best practice that is associated with high performance and ethical compliance. Mentors can support employee personal and career development and be another point of perspective on training gaps.



LEARN MORE

This story describes three innovative mentorship programs and the benefits they bring to employees:
medium.com/jacob-morgan/3-companies-with-great-mentoring-programs-and-why-you-should-have-

2. Interventions



While we can consider minor and occasional slip-ups in ethical conduct to be part of the learning process, frequent or repeated issues from the same staff member shows that this is not just about knowing the rule, but an indifference to the rules. The rules may be perceived as overreach. If it is simply about company policy, and not legal compliance, these should be heard and considered. But if ultimately the company decides the rules need to stay and be enforced, and the worker continues to be defiant (perhaps when not being watched), intervention might be necessary. In this example, managers would need to rely more on legitimate power and authority, even coercive power. However, these must be used ethically themselves. Interventions for repeated noncompliance can fall into two categories.

2a. Critical Incidents

A critical incident appraisal reviews work performance, summarizing situations (incidents) that demonstrate either successful or unsuccessful behavior and their outcomes. This is usually done following an accident or major ethical lapse, such as a security breach.

However, ideally a review would be done in the course of normal work, which will help identify problems before they happen. This is also preferred since incidents should be recorded as they occur rather than based on memory. This level of detail is more valuable to an employee and may better support development.



THINK ABOUT IT

What is the best balance between keeping accurate records on performance and onerous “busy work” for managers and staff? This is one of the key challenges to managers and staff.

However, in terms of ethical compliance, this may need to be done discreetly to capture ordinary performance; an employee who knows they are being watched and assessed is more likely to do everything by the book.

2b. Regular Appraisals

Another option for internal review and intervention is to include ethical conduct as part of the annual or semi-annual performance review or as a separate review. This requires good data, such as knowing how often a particular rule was ignored or adhered to, or doing 360 reviews where everybody on a team evaluates each other, which might reveal things about ethical conduct you would not otherwise learn. The best steps to make an appraisal useful follow.

1. Schedule an appraisal meeting in advance. An appraisal should be presented—ideally, in person or at least via videoconference—and discussed, not handed off for signature.
2. Optional, but recommended. Ask the employee to complete and submit a self-evaluation prior to the appraisal meeting. This will allow your employee time to reflect and will give you a heads up on any significant differences in opinion.
3. Decide on the desired outcome and plan accordingly. Assuming you've been provided feedback on an ongoing basis, the substance of the meeting won't be a surprise. Have the information or resources you need on hand or on call.
4. Develop your talking points.
 - Focus on the most significant success factors and, based on the data you've collected, identify specifics that warrant recognition as well as deficits that need to be addressed.
 - Relate your findings to the code of ethics and any legal guidelines that must be followed.
 - Based on the above, identify next steps, including future goals and associated action items. The objective is for the employee to come out of the meeting with a clear sense of where they stand, a renewed sense of purpose, and a clear sense of direction.
5. Conduct the appraisal meeting.
 - Provide your employee with a written copy of his or her appraisal. Discuss your observations and expectations. Invite comments. Keep feedback focused on performance, rather than the person, and emphasize opportunities for improvement.
 - At a minimum, the meeting should include the employee's acknowledgement of the appraisal. Ideally, the meeting will be a springboard to the next review or appraisal period.



REFLECT

If you had to give your current or past boss an appraisal, what would you state they do well, and what should they improve, and what are specific strategies you'd recommend for improvement?

3. Disciplinary Measures



If all else fails, you may need to take the final action of firing a person for repeated ethical violations; if the violation is serious enough, it may only take one action to merit dismissal. Of course, there should always be a process for terminating an employee. Any company that fires an employee as a reflexive response to an issue may face serious consequences. To protect themselves from lawsuits, a damaged reputation, and a hostile work environment, companies need to ensure they have policies in place surrounding termination procedures. These policies should address ways to legally and ethically fire an employee,

3a. Legal Considerations

“Fired” employees are different from employees who are laid off. When companies fire someone, it is for cause, such as poor work performance or unethical conduct. Even if employees have behaved in a way that justifies terminating their employment, there are still legal issues to consider before firing them.

- Document, document, document. Consistent and clear documentation is key to avoiding legal problems after firing an employee. If an employee is spoken to about their poor performance, the conversation should be documented every time. This way, employers are able to show habitual behaviors or poor performance and have evidence that the company tried to help rectify the employee’s shortcomings. When repeat behaviors are well documented, companies can justify firing an employee for a negative behavior or performance pattern.
- Do not discriminate. While this may seem like common sense, it is extremely important to remain fair and consistent across the board, regardless of a person’s background or demographics. If an employee is terminated based on discrimination and not their performance, major lawsuits are possible. In addition to legal and financial problems, companies that are found to be guilty of discrimination may experience a blow to their reputation and company morale.
- Be consistent. It is extremely important for companies to consistently follow any policies and procedures they have in place around documenting poor performance and bad behavior. The way in which employees are terminated should also look similar. Employees should be fired in face-to-face, professional settings. Consistency is key to conducting legal and ethical terminations.

3b. Ethical Considerations

As we've said before, meeting legal requirements is an ethical minimum. While being prepared to handle any legal repercussions of dismissing someone is obviously important, that alone does not necessarily mean that the dismissal is ethical. Here are some ways to ensure employees are fired in an ethical way:

- If the person is being let go for performance reasons, and not due to ethical or legal problems, give ample warnings. Be sure to hold conversations prior to firing an employee. If they are underperforming or not meeting expectations, having a conversation with them gives them a chance to course correct. The termination conversation should not be the first time the employee is hearing about their shortcomings. However, if an ethical breach is serious enough, it may merit firing without a prior conversation.
- Be consistent. Stay consistent across the entire organization. We discussed consistency in relation to legality, but it is also extremely relevant to ethics. Consistency can help to avoid discrimination and ensure unbiased and fair treatment for all.
- Be transparent. Employees should know the rules and expectations of the organizations, as well as frequent feedback on how they are doing. In most cases, employees should be notified in person that they are being terminated. There may be exceptions due to circumstances, but an impersonal method shouldn't be done for the convenience of the manager. Finding out about getting fired through a letter or from a third party is impersonal and inconsiderate. Although most people do not enjoy firing someone, it is important to show the employee enough respect to sit down and have the conversation face-to-face.



SUMMARY

In this lesson, you learned about the challenges to principled management when it comes to **ethical training** of staff, **interventions** when issues are discovered, and **disciplining** staff that has been performing poorly or neglecting standards of safety. There are **legal considerations** regarding proper notice and documentation, but even greater **ethical considerations** that include transparency about rules and regular feedback, so staff does not feel surprised by sudden dismissal (except in cases of illegal or extremely unethical behavior). Poor performance is often due to poor training or inadequate feedback, so it's essential to also address systemic problems that make it harder for staff to succeed.

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